



“Our banking sector needs capital. If we want to be a \$10-trillion economy by 2045, the private banking system has to be strengthened,” says an industry insider.

There is also a big change in trade policies with bilateral trades taking centre stage. Take for instance the RBL Bank deal. It aligns naturally with the India-UAE trade agreement signed in 2022, which opened the doors for deeper trade and financial collaboration between the two economies. By gradually opening the doors to credible foreign players, the RBI is preparing India’s banking system for the next phase of globalisation—one where capital, trade, and the rupee move more freely across borders. This also supports the rupee’s internationalisation, another goal of the central government.

The RBI is hoping that its big policy shift sets off a chain reaction across the economy. **BT**

operations as a WOS

NOV 2020
Lakshmi Vilas Bank is amalgamated with DBS Bank

SEP 2025
SMBC completes acquisition of a

20% stake in YES Bank, bought an additional 4.2% stake, increasing its stake to 24.2%

OCT 2025
Emirates NBD agrees to acquire a majority stake (60%) in RBL Bank in a \$3 billion deal

and it’s still improving because we are managing our balance sheet well,” says Kumar. CET-1 stands for Common Equity Tier and is a component of Tier 1 capital covering holdings such as cash and stock and represents the highest quality of regulatory capital.

Once the bank achieves an ROA of 1%, it expects an ROE of around 9–10% on its large equity base.

Meanwhile, the cost-to-income ratio remains elevated. “The cost-to-income ratio rose sharply, reflecting elevated technology investments, higher regulatory compliance costs post-restructuring, and expansion into granular retail segments. Growth in low-yield secured assets and branch-led distribution further lifted expenses,” reasons Parakh of Bigul.

Kumar says the bank expects the cost-to-income ratio to trend toward 50% over the next three years. One constraint, he notes, is the RIDF allocation, where the bank loses about 4% on nearly ₹33,000 crore.

Another concern is the bank’s underwhelming stock performance (See graph: *Stock Price Under pressure*). “The 2020 crisis triggered massive share issuance, eroding value by nearly 95% from its peak. Profits have recovered, but a larger equity base means lower per-share value,” explains Jadhav of White Stone Advisory.

Additionally, ICRA recently flagged the pending Supreme Court verdict on the YES Bank administrator’s decision to write off ₹8,415-crore of AT-1 bond write-back as a key event for the bank’s capital and solvency. Additional Tier 1 or AT-1 are bonds issued by banks to increase their capital base. YES Bank had written these off in 2020 as part of its reconstruction plan.

However, the Bombay High Court had quashed the write-off in January 2023, which the Supreme Court stayed, referring the case to another Bench. Any partial or full write-back could erode core capital and strain solvency. “Everything has been done in accordance with regulations. We believe this aspect will be taken into cognizance,” says Kumar.

Beyond these immediate concerns, Kalyanaraman says SMBC’s investment, though significant, will not be the sole factor helping recapture market confidence. “Regaining investor interest will require constant repeatable earnings, liability-side discipline, visible execution synergies, and resolution of the AT-1 decision. The transformation works only if guidance is translated into action on the ground,” he reasons.

As YES Bank writes its next chapter, it stands at the intersection of two worlds—India’s energy and Japan’s gradual and deliberative process. In many ways, this partnership could define the bank’s own *ikigai*: a purpose that blends growth, discipline, and endurance. **BT**